



QUANT LAB USA INC

LLC vs C-Corp: The Founder's Entity Decision Checklist

A 30-page decision checklist for founders incorporating a technology company. Compares LLC, S-Corp, and C-Corp on tax treatment, funding readiness, ownership transfer, and exit math, with a real case study from a Georgia-incorporated C-Corp.

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About this document

This document is a free resource published by QUANT LAB USA INC, a Georgia-incorporated technology company building custom business software, SaaS platforms, and security engineering for mid-market and SMB operators. It is informational only and does not constitute legal, tax, accounting, or financial advice. Always verify decisions with a qualified licensed professional in your jurisdiction.

Section 1

The Four-Question Filter

Most founders waste two weeks on entity-comparison research that a four-question filter could have resolved in fifteen minutes. The four questions below resolve roughly 80% of founder entity decisions before the more nuanced sections of this document become relevant. Answer them honestly first, then read on for the situations that fall into the remaining 20%.

Question 1: Will you raise priced equity within 24 months?

A priced equity round - meaning an institutional investor buys a fixed number of shares at a fixed price per share - is almost always done into a Delaware C-Corp. Venture funds, most angel groups, and Reg D 506(c) syndicates either require it or force a costly conversion as a condition of funding. If the answer to this question is yes, the answer to the entity question is almost certainly C-Corp.

Question 2: Will you have foreign owners?

S-Corp election requires all shareholders to be US persons. If any co-founder is a non-resident alien, an S-Corp election is off the table. This pushes the decision toward LLC or C-Corp; the C-Corp path is preferred if outside investment is anticipated, the LLC path is preferred for closely-held operating businesses.

Question 3: Do you need to issue ISOs (incentive stock options)?

Only C-Corps can issue ISOs. LLCs can grant profits interests, which have similar alignment economics but different tax treatment and a more complex administration burden. If you plan to hire senior engineers or executives who expect ISO grants, the C-Corp path is materially easier.

Question 4: Is this a single-member operating business?

If you are a solo operator with no intent to take outside capital and no intent to add equity-holding co-founders, a single-member LLC is the default best path. The Schedule C tax treatment is simple, the entity is cheap to operate, and the S-Corp election remains available later if your self-employment tax burden grows enough to justify the additional payroll administration.

Decision rule: If the answer to Question 1 is yes, stop reading and incorporate as a Delaware C-Corp. Every other consideration in this document is secondary to that single fact pattern.

Section 2

LLC Deep Dive

The Limited Liability Company is the default modern operating-business entity. It combines the liability protection of a corporation with pass-through taxation similar to a partnership or sole proprietorship. The LLC structure is the right answer for a very large share of operating businesses - but it is the wrong answer for almost every venture-track technology company past Series Seed.

Default Tax Classification

By default, the IRS classifies a single-member LLC as a disregarded entity (reported on Schedule C of the owner's personal 1040) and a multi-member LLC as a partnership (Form 1065 with K-1s to each owner). Both classifications preserve pass-through taxation - the entity itself owes no federal income tax, and income flows through to owners' personal returns.

The K-1 Problem at Scale

Multi-member LLCs issue K-1s to each owner. Once an LLC has more than ten owners, K-1 administration becomes meaningfully complex. At fifty owners, it is a real annual cost line. At any size where institutional investors are involved, the K-1 mechanism creates investor-side complications that make venture-style fundraising structurally incompatible with an LLC.

Self-Employment Tax Surface

Operating-member income from an LLC is generally subject to self-employment tax (15.3% on the first \$168,600 of 2026 self-employment income, then 2.9% above that). For a profitable single-member operating business, this is the single largest tax-side reason to evaluate the S-Corp election.

When LLC is the Right Long-Term Endgame

An LLC is the right long-term endgame for closely-held operating businesses with predictable cash flows, no need to issue ISOs, no foreign owners requiring C-Corp treatment, and no intent to take institutional capital. Many lifestyle businesses, consulting practices, real-estate holding companies, and small agencies operate as LLCs from inception through exit.

Section 3

C-Corp Deep Dive

The C-Corporation is the default entity for any technology company that intends to raise institutional capital. The structural reasons - share-class flexibility, ISO issuance, K-1 avoidance, and Section 1202 QSBS treatment - far outweigh the well-known double-taxation downside for most venture-track companies.

Double Taxation, Explained Honestly

C-Corp earnings are taxed twice: once at the corporate level (federal corporate rate, currently 21%, plus state corporate income tax) and again when distributed as dividends to shareholders (qualified dividend rate, typically 15-20%). The honest framing is that double taxation is a problem if and only if the company distributes earnings as dividends. Almost no venture-track company does this in the growth phase.

Section 1202 QSBS

Section 1202 of the Internal Revenue Code provides a meaningful federal capital gains exclusion on the sale of qualified small business stock (QSBS) held for more than five years. The exclusion is the greater of \$10M or 10x the holder's adjusted basis. For a founder selling a 100%-owned C-Corp acquired five-plus years ago at a \$10M exit, the federal capital gains tax bill can be zero. This benefit is exclusive to C-Corps and is the single largest reason most venture-track founders land on C-Corp regardless of every other factor.

The 83(b) Election

When a founder receives restricted stock subject to vesting, the 83(b) election (filed within 30 days of grant) allows the founder to pay ordinary income tax on the stock's value at grant, locking in low-basis treatment and starting the QSBS holding clock immediately. Missing the 83(b) window is one of the most expensive correctable errors in founder-side tax planning - the entire future spread between grant value and vesting value becomes ordinary income.

ISO vs NSO Mechanics

C-Corps can grant Incentive Stock Options (ISOs) to employees and Non-Qualified Stock Options (NSOs) to anyone. ISOs receive favorable tax treatment if held for the required holding period; NSOs are simpler administratively but generate ordinary income at exercise. The standard pattern is ISOs to all US-employee grants and NSOs to advisors and non-US grants. This decomposition is impossible inside an LLC.

Section 4

S-Corp Election as a Middle Path

S-Corp is not its own entity type at the state level - it is a federal tax election available to qualifying corporations and LLCs. The S-Corp election can be powerful for a specific category of operator: solo or closely-held practitioners earning enough that self-employment tax becomes the single largest tax line.

Who Can Elect

S-Corp election is restricted: maximum 100 shareholders, all must be US persons, all must be individuals (not corporations or partnerships) with limited exceptions, only one class of stock permitted. Any non-resident alien shareholder kills the election. Any preferred-stock or convertible-note structure typical to venture-style financing breaks the single-class-of-stock requirement.

Reasonable Compensation Rule

S-Corp owner-employees must pay themselves a reasonable salary for their work, subject to standard FICA payroll taxes. Distributions above that reasonable salary are not subject to self-employment tax. The IRS scrutinizes the reasonableness of the salary - an owner-employee paying themselves \$25K of salary out of \$400K of profit is an audit invitation. The right pattern is to pay yourself genuinely reasonable compensation for the work you do, take the remainder as distribution, and document the salary determination with comparable-role data.

When the Election Makes Sense

S-Corp election is most valuable for solo or closely-held service professionals and software consultants earning between \$80K and \$300K of pre-tax profit annually, where the self-employment tax savings (~7.65% on the distribution portion of profit) outweigh the additional payroll administration cost (~\$1,500-\$3,000 annually). Below \$80K, the savings rarely justify the complexity. Above \$300K, the FICA wage base cap starts to limit the savings.

Section 5

State of Incorporation

The state-of-incorporation decision is independent of the federal entity-type decision. Most founders default to either their home state or Delaware. Both defaults are sometimes right and sometimes wrong. The four-factor analysis below resolves the decision for most operating businesses.

Delaware - The Reflexive Default

Delaware is the right state for any company that intends to take institutional venture capital. Sophisticated investors expect Delaware corporate law, the Chancery Court system, and the standardized corporate-governance documents that Delaware filing produces. For non-VC-backed operating businesses, the Delaware default is frequently wrong - it adds an annual franchise tax (minimum \$400, up to thousands for high-share-count corporations), a registered agent fee, and a foreign qualification filing in your home state of operations.

Home-State Incorporation

For an operating business with no venture capital plans, incorporating in your state of operations is usually cheaper and simpler. You avoid the registered-agent fee, avoid the foreign-qualification filing, and your annual reports run through a single state filing system. The trade-off is that the corporate-law regime in your home state may be less sophisticated than Delaware's - which matters in dispute resolution but rarely in day-to-day operations.

State	Annual Franchise Tax	Best For
Delaware	\$400 minimum (much more for high-share count)	VC-backed startups
Georgia	No franchise tax; \$50 annual report	Operating businesses HQ'd in GA
Texas	Franchise tax on revenue; \$0 below \$2.47M	Mid-size operating businesses
Wyoming	\$60 annual report	Holding companies; LLCs preferring privacy
Florida	\$138.75 annual report	Owner-operated businesses
California	\$800 minimum franchise tax annually	California-presence companies only

Foreign Qualification

If you incorporate in one state and operate in another, the operating state generally requires foreign qualification - a filing with that state's Secretary of State that registers your out-of-state entity to do business locally. Foreign qualification adds an annual filing fee and a registered agent in each state of operations. For

a company operating in five states, the cumulative annual cost can exceed \$1,500 - which is the franchise-tax savings of incorporating in Delaware rather than home-state for almost any small operating business.

Section 6

Funding Readiness

If you intend to raise outside capital - at any stage, from any institutional source - the entity choice has implications for what kinds of capital are accessible. This section covers the specific entity requirements common funding paths have.

YC and Other Accelerator SAFEs

The Y Combinator post-money SAFE template assumes a C-Corp issuer. SAFEs are convertible securities; the conversion mechanic relies on a fixed-share-class equity structure that LLCs cannot natively provide. Most accelerators and SAFE-native investors will require a Delaware flip before subscribing to a SAFE from an LLC, which adds 2-to-4 weeks of legal work and modest legal fees to the financing process.

Priced Equity Rounds

A priced equity round (Series Seed, Series A, etc.) is functionally impossible into an LLC. Almost universally, venture firms either require Delaware C-Corp structure as a condition of investment or force a conversion as part of the financing. Founders who try to raise priced equity from an LLC end up paying for the conversion anyway, plus the legal work to retroactively unwind the LLC capital structure.

Reg D 506(c) and Crowd-Equity

Reg D 506(c) crowd-equity platforms (Republic, StartEngine, others) generally require C-Corp structure. The platform-side compliance, the standardized subscription agreements, and the cap-table software that accommodates these platforms all assume C-Corp. LLC-structured rounds on these platforms exist but are rare and produce ongoing administrative complexity.

Bank Debt and Revenue-Based Financing

Operating-business debt sources (SBA loans, traditional commercial banks, revenue-based financing platforms like Pipe or Capchase) are mostly entity-agnostic. LLC and C-Corp operating companies access these capital sources on similar terms. For a company whose financing path is debt-only, the entity choice is independent of funding considerations.

Section 7

Equity and Exit Math

The most consequential entity-choice impact is at exit. The same \$10M acquisition produces materially different after-tax outcomes for founders depending on entity structure. This section walks through a worked example.

Scenario: \$10M Acquisition After 6 Years

Assume a founder owns 100% of a single-shareholder company, founded six years ago, sold for \$10M cash. Assume the founder's basis is \$1,000 (the original incorporation capital). Federal-only math (state varies; ignore state for clarity).

Entity Type	Federal Gain Treatment	Approximate Federal Tax
C-Corp (QSBS eligible)	First \$10M excluded under Section 1202	\$0
C-Corp (non-QSBS)	Long-term capital gain at 20% + NIIT	~\$2.4M
LLC (default)	Capital gain at 20% + NIIT on goodwill portion	~\$2.4M
S-Corp	Capital gain treatment similar to LLC	~\$2.4M

The Section 1202 QSBS exclusion is the single largest tax-side reason venture-track founders choose C-Corp. The five-year holding period is the gating constraint - founders who incorporate as LLC and convert to C-Corp later need to carefully manage the holding-period reset implications of the conversion.

When QSBS Is Not Available

QSBS treatment requires the C-Corp to meet several conditions throughout the five-year holding period: assets must remain below \$50M at the time of original issuance, the company must be a domestic C-Corp engaged in an active business (not a passive investment vehicle), and several disqualified-business categories apply. Most software and SaaS businesses qualify cleanly; certain service businesses, investment-oriented businesses, and real-estate-heavy businesses do not.

Section 8

The Conversion Path

Many founders begin as LLCs and convert to C-Corp before a Series Seed round. The conversion is mechanical but has real costs and side effects worth understanding before the conversion decision is made.

Mechanics of the Conversion

The standard pattern is an F-reorganization: the LLC forms a new C-Corp, contributes its equity to the C-Corp in exchange for C-Corp stock, the LLC then merges into the C-Corp, and the C-Corp becomes the surviving entity with the LLC's operating history and contracts. The mechanics preserve tax basis for founders and are tax-deferred at the federal level if executed correctly.

Cost and Timeline

Standard conversion legal cost is in the \$5,000-\$15,000 range for a straightforward situation. Timeline is 4-to-8 weeks from instruction to completion. If outside investors are participating in the round triggering the conversion, the conversion can run in parallel with the financing legal work and add minimal calendar time.

QSBS Holding Period Reset Trap

The QSBS five-year holding period starts at the issuance of the C-Corp stock. For founders converting from LLC to C-Corp, the holding clock starts at conversion, not at original LLC formation. This means a founder who incorporates as LLC in year 1, converts to C-Corp in year 3, and sells in year 6 has only three years of QSBS holding - not enough to qualify. Founders who anticipate exit timing in the five-to-seven-year range should weight this consideration heavily.

Section 9

Case Study - QUANT LAB USA INC

QUANT LAB USA INC is a Georgia-incorporated C-Corp founded in 2026. This section walks through the entity decision applied to our own situation, so you can see the framework concretely in action against a real fact pattern. The same checklist that led us to a Georgia C-Corp may lead you to a Wyoming LLC, a Delaware C-Corp, or an S-Corp election - the framework is what matters, not the answer we landed on.

Four-Question Filter Applied

- **Will we raise priced equity?** Uncertain. We are bootstrapped today and may remain so, but we do not want to foreclose the option. This pushes us away from LLC and toward C-Corp.
- **Will we have foreign owners?** No, today. The S-Corp election remains available.
- **Do we need to issue ISOs?** Probably, within the next 24 months as we selectively grow the senior engineering bench. This pushes us toward C-Corp.
- **Is this a single-member operating business?** Effectively yes today, but the operating model is structured to add equity-holding co-founders or senior team members in the medium term.

State of Incorporation Decision

We chose Georgia over Delaware. The rationale: our operating presence is in Georgia; Georgia corporate law is sufficient for our likely operating patterns; the annual cost difference between a Georgia C-Corp (essentially no franchise tax) and a Delaware C-Corp with Georgia foreign qualification (\$400 minimum DE franchise + GA foreign qualification + DE registered agent ~\$200/yr) compounds meaningfully over time; and if we later need to flip to Delaware as a condition of an institutional round, the conversion legal work is straightforward and modest in cost. The cost of the Delaware default for an operating business of our scale outweighs the optionality value at this stage.

Form 2553 S-Corp Election - Decision Still Open

Federal Form 2553 elects S-Corp tax treatment for an eligible C-Corp. Our 2553 election deadline is approximately June 2026. We are still evaluating whether to elect, based on projected 2026 revenue and the self-employment-tax savings math. The election does not change our federal entity type (we remain a C-Corp under state law) - it only changes federal income tax treatment. The election can be revoked in future years if the operating model shifts toward institutional fundraising.

What We Would Do Differently

If we had started this analysis six months earlier, we would have completed the incorporation and bank-account setup before issuing our first invoices, which would have saved approximately eight hours of

operational rework reassigning customer relationships from the founder's personal banking to the corporate banking. The general lesson: if you are within 60 days of incorporation, do not let revenue operations start under your personal SSN. The cost of unwinding that is small but real, and the cost of preventing it is zero.

Disclosure: QUANT LAB USA INC is not your CPA or tax counsel. The information in this case study is included as a concrete worked example only. Verify every decision with your own licensed advisors before relying on it.

Contact & Next Steps

Ready to act on what is in this document?

If the contents of this PDF prompted a question you want a second set of eyes on, or if you are ready to scope a related engagement, we run a 20-minute discovery call at no cost. The conversation is structured: 5 minutes on your context, 10 minutes on the specific decision in front of you, 5 minutes on what good next steps look like.

- Book a 20-minute scoping call: quantlabusa.dev/contact
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Who is QUANT LAB USA?

QUANT LAB USA INC is a Georgia-incorporated technology consultancy. We build custom business software, SaaS platforms, payments and licensing infrastructure, and security engineering for mid-market and SMB operators. We are deliberately structured as a small, senior-engineering-led practice - the people on your scoping call are the people who build the system. If a custom build is on the table, we typically begin with a paid discovery sprint that produces wireframes, a database schema, and a phased build estimate.

QUANT LAB USA INC

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